

SEA LIMITED

(NYSE: SE)

Three Engines, One Flywheel — Priced as Though It Never Compounds

BUY — \$149.00 Target

Equity Research Note · Technology — E-commerce, Gaming & Digital Financial Services · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$149.00	\$95.19	+56.5%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$58.3 bn (~570 mn sh × \$95.19)	Segments	Shopee (e-commerce) · Garena (gaming) · SeaMoney (fintech)
Price (Oct 2, 2026)	\$95.19	Shopee take rate	Well below global e-commerce peers — years of headroom
52-week range	~\$77.05 – \$193.48	Country-risk premium	150bp charged on every scenario
2025 revenue / growth	~\$22.9 bn (+36% YoY)	Next catalyst	Q3 2026 earnings; SeaMoney loan-book and loss-rate disclosure
2025 operating cash flow	~\$5.0 bn (vs ~\$1.1 bn in 2022)		

1 Investment Thesis

Sea Limited runs three businesses that each look mediocre in isolation and formidable in combination: Garena, the game publisher behind Free Fire; Shopee, the e-commerce marketplace leader across Southeast Asia, Taiwan, and Brazil; and SeaMoney, the digital financial services arm built on the transaction data of the other two. The market's enduring mistake with Sea is analyzing each segment against its worst comparable — Garena against aging game studios, Shopee against cash-burning marketplaces, SeaMoney against risky lenders — instead of pricing the flywheel. At \$95.19 the shares embed the assumption that the flywheel never compounds; our work suggests it already is.

Start with what changed: Sea is profitable now. The era of subsidized growth ended several years ago, and Shopee has demonstrated it can take share and make money at the same time, with logistics infrastructure — its own last-mile network across the region — as the moat that lets it do both. Take rates still sit well below global e-commerce peers, which means the monetization runway is measured in years, not quarters. Every point of take-rate expansion on Shopee's gross merchandise volume drops disproportionately to operating profit because the fulfillment network is already built.

Garena, written off repeatedly since the post-pandemic gaming normalization, keeps generating the cash that funds everything else. Free Fire remains one of the most-played mobile games on earth, with particular strength in the emerging markets where Sea operates — the same markets where smartphone penetration and disposable income are still rising. The market treats Garena as a wasting asset; we treat it as a durable cash engine with new-title optionality that comes free with the shares.

SeaMoney is the least understood and potentially the most valuable leg. Built on Shopee's transaction and logistics data, its lending products underwrite borrowers that traditional banks cannot see, and its payments products deepen the ecosystem lock-in. Fintech attached to commerce data has been the highest-return business model in emerging markets globally, and SeaMoney is still early in that journey. Our \$149.00 fair value prices Shopee as a maturing regional champion with take-rate headroom, Garena as a durable cash cow, and SeaMoney as a fast-growing fintech

— and charges a 150bp Southeast Asia country-risk premium for the privilege. The bear case at \$75, below today's price, is the world where competition breaks all three engines at once; we consider that the tail, not the center. The rating is BUY.

Why the market will care (eventually)

- **Take-rate expansion is the profit inflection.** Volume growth plus monetization expansion on an already-built logistics base is the classic e-commerce profit inflection — and Sea is in its early stages, with take rates grinding upward toward levels global peers sustain.
- **SeaMoney's underwriting is the data edge.** Lending decisions informed by real commerce and logistics behavior — not self-reported income — have produced loss rates the skeptics did not expect. If that continues, SeaMoney graduates from sidecar to core earnings driver and gets re-rated as a fintech.
- **The diversification is the downside protection.** Three engines across gaming, commerce, and fintech mean no single competitive or regulatory shock breaks the company — the bear case requires all three to misfire simultaneously, which is why we treat it as a tail.

2 Business Overview — What Sea Limited Is Doing

(Singapore; CEO Forrest Li)

Sea Limited, headquartered in Singapore, operates three segments. Shopee is the leading e-commerce marketplace across Southeast Asia, Taiwan, and Brazil, with its own last-mile logistics network in core markets. Garena is the digital-entertainment arm, publisher of Free Fire — one of the most-played mobile games globally — plus a publishing pipeline for new titles. SeaMoney provides digital financial services: consumer and SME lending, mobile wallet payments, and related products, built on the transaction and logistics data generated by the other two segments.

The flywheel logic: Garena's cash funded Shopee's land grab; Shopee's transaction volume feeds SeaMoney's underwriting data; SeaMoney's payments deepen lock-in across the ecosystem. The company reports in US dollars while operating across many emerging currencies, which adds translation volatility but also diversifies the economic base.

The business model has matured from growth-at-all-costs to profitable compounding. Revenue was \$22.9 billion in 2025, up 36% year over year, and operating cash flow inflected from negative \$1.1 billion in 2022 to positive \$5.0 billion in 2025. Shopee monetizes through take rates on gross merchandise volume that remain well below global peers; Garena monetizes through in-game purchases on a largely fixed cost base; SeaMoney monetizes through net interest and fee income on a growing loan book.

3 Financial Analysis

\$ bn	2022	2023	2024	2025
Total revenue	12.45	13.06	16.82	22.94
YoY growth	—	+4.9%	+28.7%	+36.4%
Operating cash flow	−1.06	2.08	3.28	5.03
Free cash flow	−2.03	1.82	2.96	4.50

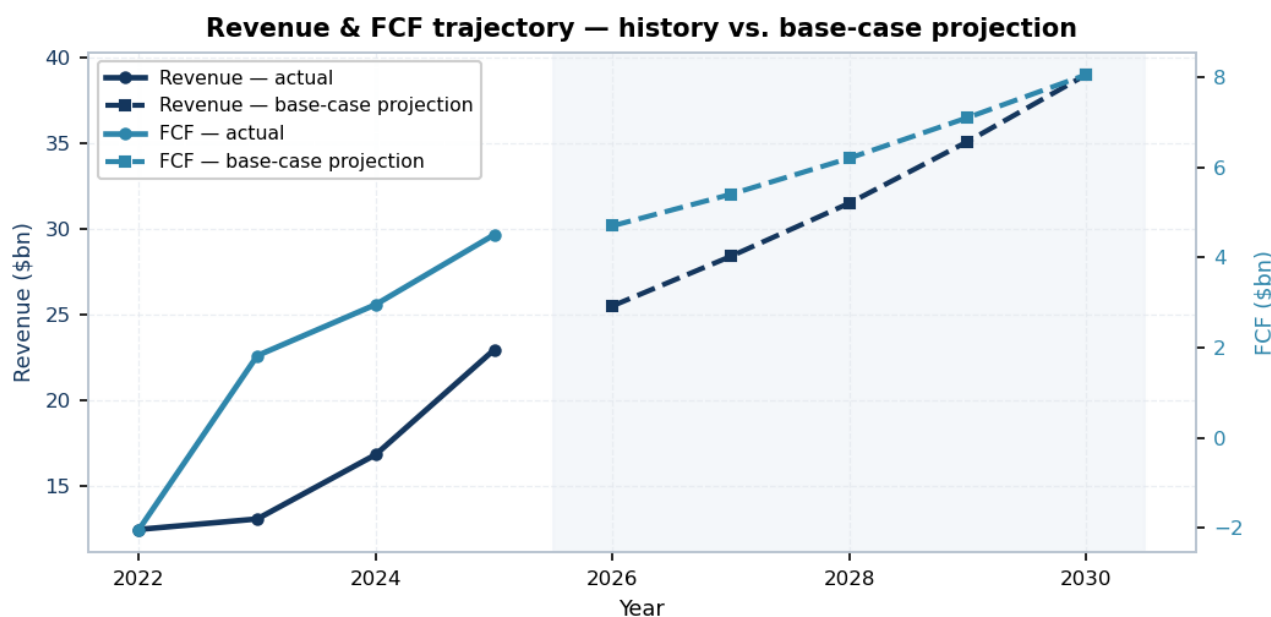
Sources: company filings via Yahoo Finance (annual). FCF = operating cash flow less capex.

The financial transformation is the underappreciated story. Revenue compounded from \$12.5 billion in 2022 to \$22.9 billion in 2025 while the business flipped from cash burn to cash generation: operating cash flow went from negative \$1.1 billion in 2022 to positive \$5.0 billion in 2025, and free cash flow reached \$4.5 billion. That is a \$6 billion swing in operating cash flow in three years — the subsidy era is definitively over.

The balance sheet funds the flywheel internally: Garena's cash generation means Shopee's logistics build and SeaMoney's loan-book growth do not depend on external capital. At \$95.19 the shares trade at about 37× trailing

earnings — optically full — but trailing earnings understate a business whose three segments are all still climbing their margin curves. Our DCF values the cash flows, not the multiple, and charges the 150bp country-risk premium on every scenario.

Revenue & cash-flow trajectory

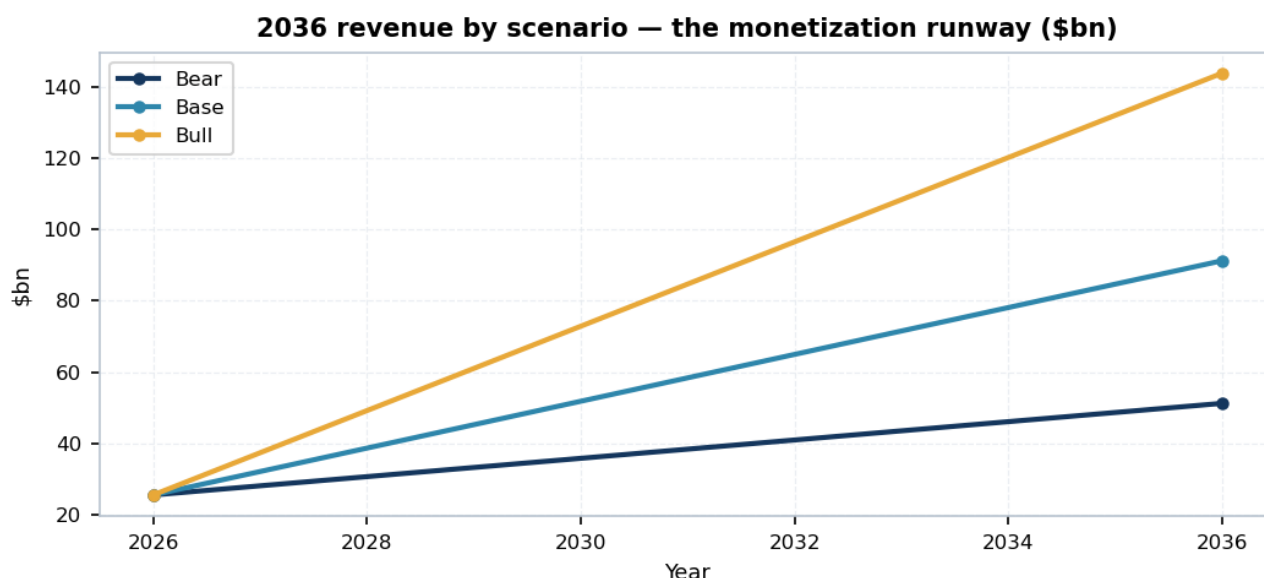


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projections: base-case free cash flow from the scenario DCF (~11% revenue CAGR, FCF margins widening on logistics leverage).

4 Moat & Competition

- **Shopee's logistics network is the moat.** Its own last-mile infrastructure across Southeast Asia lets Shopee take share and make money simultaneously — and raise take rates without losing sellers or buyers. Logistics is the hardest e-commerce asset to replicate in the region.
- **The flywheel across three segments.** Garena cash funds commerce; commerce data underwrites fintech; fintech payments deepen ecosystem lock-in. Each leg analyzed alone looks mediocre; combined, they compound.
- **Commerce-data underwriting.** SeaMoney lends against real transaction and logistics behavior, not self-reported income — a data edge traditional banks in these markets cannot see and fintech rivals cannot easily copy.
- **Free Fire's installed base.** One of the most-played mobile games on earth, with low device requirements perfectly matched to emerging-market demographics — a durable cash engine with free new-title optionality.
- **The moat's weak link: each engine has a predator.** TikTok Shop and Lazada in commerce, engagement decay in gaming, credit cycles in fintech — the diversification mitigates any single threat, but a synchronized regional shock would test all three at once.

2036 revenue by scenario — the monetization runway (\$bn)



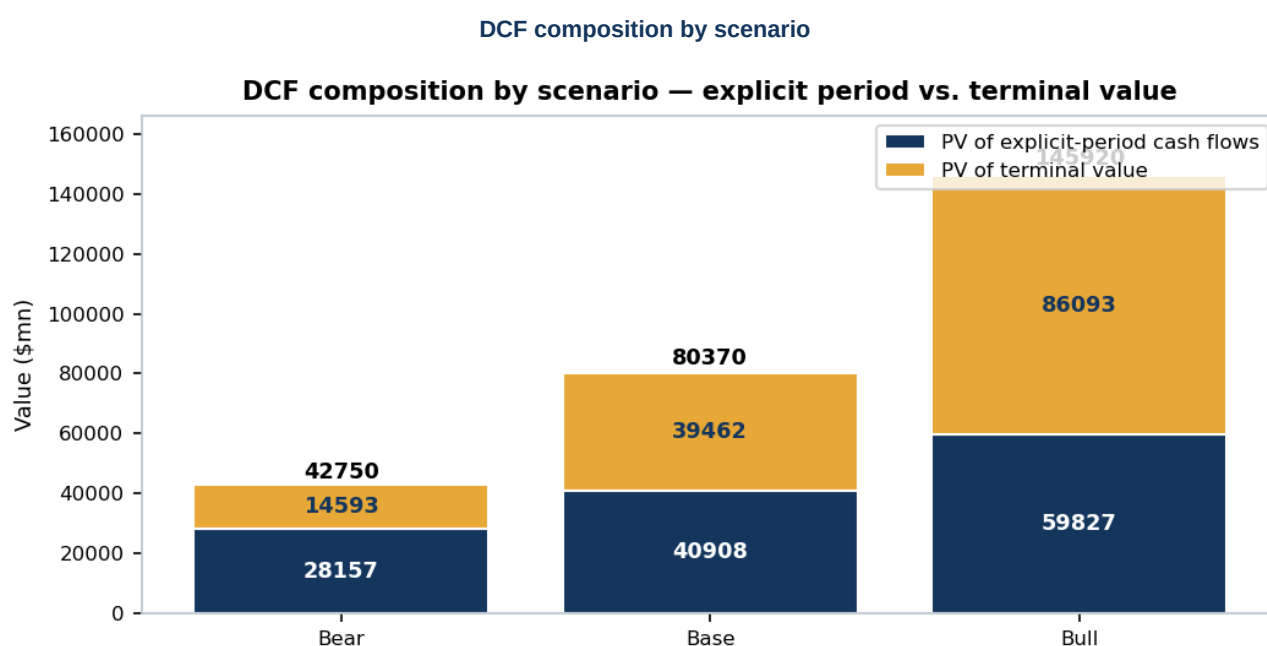
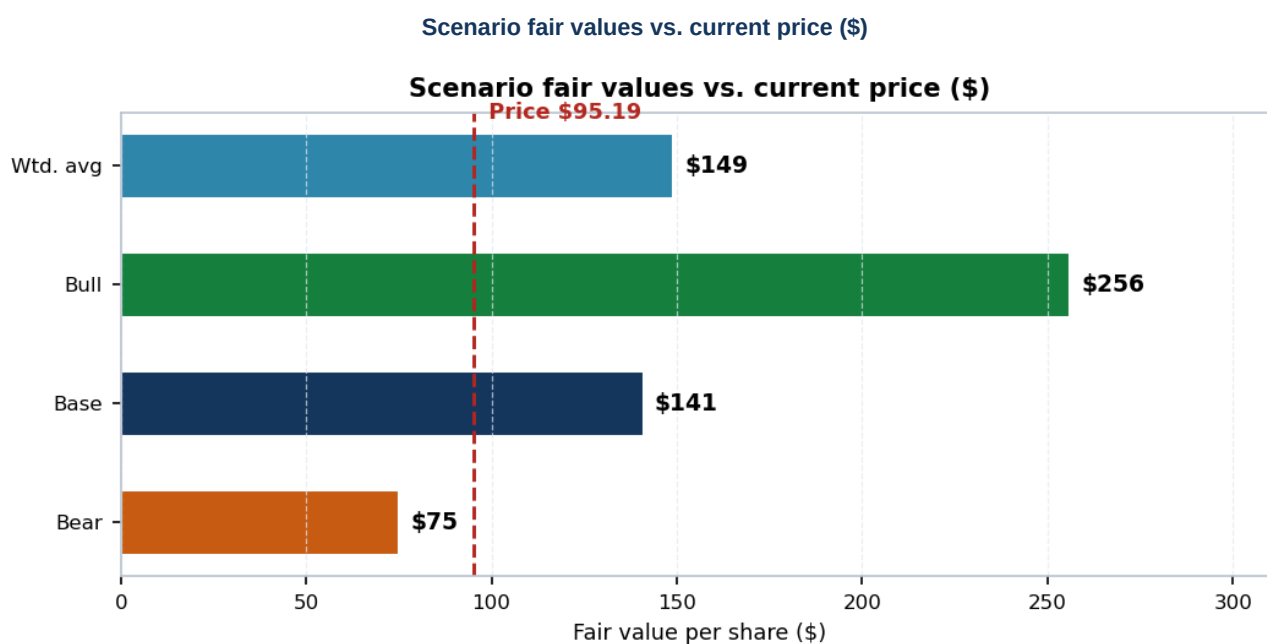
5 Valuation — 10-year scenario FCF DCF with Southeast Asia country-risk premium, Fair Value \$149

We value Sea on a 10-year probability-weighted scenario DCF of free cash flow — weights bear 25% / base 50% / bull 25% — with an explicit 150bp Southeast Asia country-risk premium added to the discount rate on every scenario: bear 14.5%, base 12.0%, bull 10.5%. Terminal growth is 1.75% / 2.5% / 2.5% on normalized mid-cycle margins — we do not project peak e-commerce or gaming margins into perpetuity — and we benchmark multiples against regional e-commerce, gaming, and fintech peers facing similar emerging-market risks, never US peers alone. The terminal value is a minority of enterprise value, consistent with a business whose near-term cash generation is substantial and visible.

Scenario-implied fair values: bear \$75 (e-commerce price war resumes with TikTok Shop and Lazada; Free Fire declines steeply; SeaMoney credit losses spike; regional macro shock), base \$141 (Shopee GMV grows double-digits with take-rate expansion; Garena cash flows endure; SeaMoney scales profitably; margins widen on logistics leverage), bull \$256 (take rates normalize toward global peers; SeaMoney becomes a core fintech earnings engine; new Garena hit; market re-rates the flywheel). The probability-weighted fair value supports our \$149.00 target — set conservatively inside the scenario range given the country-risk premium. The bear case at \$75 sits below the current \$95.19 price, as required: it is the world where all three engines misfire simultaneously, which we view as a genuine tail given the diversification across segments and geographies.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	E-commerce price war resumes (TikTok Shop, Lazada); Free Fire declines steeply; SeaMoney credit losses spike; regional macro shock	+5.0%	17%	14.5% / 1.8%	34%	\$75.00
Base	Shopee GMV grows double-digits with take-rate expansion; Garena cash flows endure; SeaMoney scales profitably; margins widen on logistics leverage	+11.2%	20%	12.0% / 2.5%	49%	\$141.00
Bull	Take rates normalize toward global peers; SeaMoney becomes a core fintech earnings engine; new Garena hit; market re-rates the flywheel	+16.4%	22%	10.5% / 2.5%	59%	\$256.00
Wtd. avg	Probability-weighted (25/50/25) → \$149.00 target					\$149.00

Scenario fair values are per-share equity values from the FCF DCF (~570 mn shares), with the 150bp country-risk premium charged throughout. The \$149.00 target is set conservatively inside the probability-weighted range.



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **E-commerce competition.** TikTok Shop, Lazada (Alibaba), and local players could reignite subsidy wars or take share in key markets.
- **Gaming concentration.** Free Fire is a large share of Garena's profit; a sharp decline in engagement would reduce the cash engine funding the other segments.
- **SeaMoney credit risk.** Rapid loan-book growth among thin-file borrowers could produce unexpected losses in an economic downturn.

- **Regulatory and political risk.** Across Southeast Asia, Taiwan, and Latin America — including data, fintech licensing, and foreign-ownership rules.
- **Currency volatility.** Results are reported in US dollars while operations span many emerging-market currencies.

What would change our mind

Downgrade to HOLD on: Shopee losing market leadership in two or more core markets (Indonesia, Vietnam, Thailand) on both volume and profitability — the moat thesis breaking; take-rate expansion reversing for four consecutive quarters, indicating pricing power was illusory; SeaMoney non-performing loan ratios inflecting sharply upward with inadequate provisioning; Free Fire quarterly paying users declining more than 20% year over year with no pipeline title offsetting; or a regulatory event that structurally impairs one of the three segments (e.g., fintech license revocation in a major market). We watch: Shopee market share and take rate, SeaMoney NPL ratios, Free Fire engagement, and regional regulatory headlines.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For Sea we add an explicit 150bp Southeast Asia country-risk premium to the discount rate and benchmark multiples against regional peers facing similar emerging-market risks.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.